What Is the Supply Schedule?

The supply schedule of an asset can be influenced by its three layers of governance, but the procurers typically have the strongest hand. For example, with equities there is an initial share issuance via an initial public offering (IPO). The IPO helps the management of the underlying company raise cash from the capital markets and get broader exposure for their company’s brand. The company can continue to issue shares, via stock-based compensation or secondary offerings, but if they do so at too high a quantity, their investors may rebel because their ownership of the company is becoming diluted.

Bonds, on the other hand, are markedly different from equities. Once a company, government, or other entity issues a bond, that is a claim upon a fixed amount of debt. There is no negotiating on that debt except in the case of default. That same entity may issue more bonds going forward, but unless that issuance is an indicator of economic distress, typically a follow-on issuance of bonds will have little effect on a prior set of issued bonds.

Depending on the energy commodity, there can be varied supply schedules, though nearly all of them are calibrated to balance market supply and demand and to avoid supply gluts that hurt all procurers. For example, with oil, there’s the famous Organization of the Petroleum Exporting Countries (OPEC), which has had considerable control over the supply levels of oil.

The central banks that control currency supply have even more control than OPEC. As the world has witnessed since the